Like the RBI, the Imperial Bank also published a weekly statement of its affairs.[34]



The Imperial Bank had its share of critics. Its administration, with three permanent head offices in Bombay, Calcutta, and Madras, was considered top-heavy and wasteful. Although it had been accepted in principle that when an institution received help from the State, its management should be in predominantly Indian hands, there was no provision in the Imperial Bank Act to secure an Indian majority among the bank's shareholders and Central and Local Boards. A little more than half of the paid-up capital of the bank belonged to non-Indians. The higher echelons were manned largely by non-Indians, something which caused much resentment and was the reason for much of the criticism the bank faced.

Soon after independence demands arose for nationalizing the Imperial Bank. This was finally achieved when the State Bank of India came into being in July 1955. The nationalization of the Imperial Bank marked the culmination of a protracted debate on its role in independent India. Much of that debate had centred on the bias that the bank was believed to have against indigenous entrepreneurs and a corresponding partiality for European business. It was accused of a racial and political bias in granting financial accommodation. There was a close alliance between the bank and British commercial interests in India: the exchange banks had developed a close understanding with the Imperial Bank. The Imperial Bank held much larger deposits from the exchange banks than from the Indian banks, gave them larger overdrafts, and managed the clearing houses, the majority of the members of which in many cases were the exchange banks. Common nationality of the staff of the Imperial Bank and the British exchange banks also proved to be an important bond. It was alleged that that the attitude of the Imperial Bank to the Indian joint-stock banks was much less friendly.

There was also much resentment at the tardy pace of 'Indianization' of its senior staff and management despite protestations from the bank that a vigorous policy of Indianization was being pursued. Soon after the bank was formed, Sir Dinshaw Wacha, one of the four Indian Governors of the Central Board advocated a scheme for training young Indians for the